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Case Number: 26STCV11049 Hearing Date: August 5, 2026 Dept: 413

TENTATIVE RULING

HEARING DATE: 08/05/2026

CASE NUMBER: 26STCV11049

CASE NAME: DEBORAH BUHAJ vs CHARLIE HEALTH, INC., A DEL...

MOVING
PARTY: Defendants CHARLIE HEALTH,
INC. and CH MH SERVICES (CA), LLC.

OPPOSING PARTY: Plaintiff Deborah Buhaj

PROCEEDING: Motion to Compel Arb. and stay

RULING SUMMARY: Defendants Charlie Health, Inc. (“Charlie Health”) and CH MH Services (CA), LLC’s Motion to Compel Arbitration is denied. Defendants Charlie Health, Inc. and CH MH Services (CA), LLC’s Motion for Stay of Proceedings is denied.

Background

On April 6, 2026, plaintiff Deborah Buhaj (“Plaintiff”) filed a Complaint against defendants Charlie Health, Inc. (“Charlie Health”) and CH MH Services (CA), LLC (“CH MH” and, with Charlie Health, “Defendants”) alleging three causes of action for (1) Violation of Lab. Code § 1102.5, (2) Wrongful Termination in Violation of

Public Policy, and (3) Failure to Timely Produce Employee Personnel File and Payroll Records.

According to Plaintiff, that she was employed by Defendants from on or about April 11, 2025 through September 10, 2025 as a Clinical Admissions Therapist with a California Board of Behavioral Sciences ("BBS") license and required supervision for her job duties. On or about June 17, 2025, Defendants required Plaintiff to perform her duties without supervision and Plaintiff ultimately raised the issue to Defendants' Clinical Admissions Manager Victoria Listle ("Listle") and Defendants' Clinical Admissions Director Jackie LeBlanc ("LeBlanc") as such conduct was a violation of California law. Plaintiff's employment was terminated on September 10, 2025.

On May 7, 2026, Defendants filed this Motion to Compel Arbitration ("Motion to Compel"), and on June 9, 2026, they filed a Motion for Stay of Proceedings ("Motion for Stay"). On July 23, 2026, Plaintiff filed an Opposition to both motions. On July 29, 2026, Defendants filed their Reply.

LEGAL STANDARD

California law incorporates many of the basic policy objectives contained in the Federal Arbitration Act, including a presumption in favor of arbitrability. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 971-72.) Section 1281.2 of the Code of Civil Procedure authorizes a party to file a motion for an order compelling the parties to arbitrate a controversy. Under section 1281.2, the Court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines:

(a) The right to compel arbitration has been waived by the petitioner; or¿

(b) Grounds exist for the revocation of the agreement.

(c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. For purposes of this section, a pending court action or special proceeding includes an action or proceeding initiated by the party refusing to arbitrate after the petition to compel arbitration has been filed, but on or before the date of the hearing on the petition. This subdivision shall not be applicable to an agreement to arbitrate disputes as to the professional negligence of a health care provider made pursuant to Section 1295.

(Code¿Civ.¿Proc.¿§ 1281.2.)

Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration.¿(California Correctional Peace Officers Assn. v. State (2006) 142 Cal.App.4th 198, 205.)¿The Court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute.¿(Ibid., Code Civ. Proc. § 1281.2 [“. . .unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement”].)¿Unless the parties clearly and unmistakably provide otherwise, the question of whether the parties agreed to arbitrate is to be decided by the court, not the arbitrator.¿(AT&T Technologies v. Communications Workers (1986) 475 U.S. 643, 649.)

The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract.¿(Engineers & Architects Association v. Community Development Department (1994) 30 Cal.App.4th 644, 653.)¿There is no public policy favoring arbitration of disputes which the parties have not agreed to arbitrate.¿(Ibid.)

The party seeking to enforce the arbitration agreement bears the burden of proving the existence of a valid arbitration agreement.¿(Giuliano v. Inland Empire Personnel, Inc.¿(2007) 149 Cal.App.4th 1276, 1284; Code Civ. Proc. § 1281.2.) “With respect to the moving party's burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court. (Condee v. Longwood Mgt. Corp. (2001) 88 Cal.App.4th 215, 218; Cal. Rules of Court, Rule 3.1330 [“A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference”].)

The trial court first decides
whether an enforceable arbitration agreement exists between the parties and then¿determine whether the plaintiff’s claims are covered by the agreement.¿(Omar v. Ralphs Grocery Co.¿(2004) 118 Cal.App.4th 955, 961.) In determining whether the parties actually agreed to arbitrate the dispute, general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.)

Once petitioners allege that an
arbitration agreement exists, the burden shifts to respondents to prove the falsity of the purported agreement. (See Condee, supra, 88 Cal.App.4th at 219.) If the existence of the agreement
is challenged, "petitioner bears the burden of proving [the arbitration agreement's] existence by a preponderance of the evidence” (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413; see Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1058-1060.)

The party opposing the motion to
compel may present any challenges to the enforcement of the agreement and evidence in support of those challenges. [Citation]” (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

The party opposing the petition
to compel arbitration bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.¿(Giuliano v. Inland Empire Personnel, Inc.,¿supra,¿at¿1284.) ¿In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.¿(Id.)

DISCUSSION

A.
Moving Defendants have shown the existence of an arbitration agreement.

Under both the Federal Arbitration Act ("FAA") and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.)

Here, Defendant presents the DocuSign Envelope numbered B8CD9E0-F471-4848-8875-81364BB78CE4 (the "Envelope"), which was used to administer the signing of Plaintiff's offer letter and the DocuSign Certificate of Completion. That evidence shows the following: (1) Plaintiff was sent the Envelope to her email address on April 11, 2025 at 8:15:59 p.m.; (2) Plaintiff viewed the Envelope on April 12, 2025 at 6:27:57 a.m.; and (3) Plaintiff signed the Envelope later on that date at 10:32:24 a.m. (Decl. of Eugenie Fanning ("Fanning Decl.") ¶ 8.) The offer letter, containing the arbitration agreement, is provided and reads in relevant part:

10. Arbitration and Class Action Waiver.

To the fullest extent permitted by law, you and the Company agree to submit to mandatory binding arbitration, pursuant to and governed by the Federal Arbitration Act (the "FAA"), any and all claims that (a) you may have against the Company and its directors, officers, owners, employees, agents, successors and assigns, and (b) the Company may have against you, arising out of or related to your employment with the Company and the termination thereof, including, but not limited to, claims for unpaid wages, wrongful termination, torts, stock or stock options or other ownership interest in the Company, discrimination, harassment and/or retaliation based upon any federal, state or local ordinance, statute, regulation or constitutional provision, and individual claims under the California Private Attorneys General Act (California Labor Code Section 2698, et seq.) ("PAGA") (collectively, "Arbitrable Claims"). Further, to the fullest extent permitted by law, you and the Company agree that no class or collective actions can be asserted in arbitration, court or any other forum. All claims must be brought solely in your or the Company's individual capacity, and not as a plaintiff or class member in any purported class or collective proceeding.

Notwithstanding the foregoing, nothing in this arbitration provision restricts: (w) your right under the FAA to elect to pursue claims for sexual harassment and/or sexual assault in court, on an individual, class action or collective action basis; (x) your right, if any, to file in court a nonindividual, representative action under PAGA, if you have standing to pursue such an action and it is permitted under applicable law; (y) your right to file administrative claims you may bring before any government agency where, as a matter of law, the parties may not restrict the employee's ability to file such claims (including, but not limited to, the National Labor Relations Board, the Equal Employment Opportunity Commission and the Department of Labor, and before state agencies in connection with claims for workers' compensation, unemployment and/or disability insurance benefits); or (z) a party's right to seek injunctive or other provisional relief in court, where permitted by applicable law, including, but not limited to, in connection with the misappropriation of a party's private, proprietary, confidential or trade secret information.

SUBJECT TO THE ABOVE, THE PARTIES HEREBY WAIVE ANY RIGHTS THEY MAY HAVE TO TRIAL BY JURY IN REGARD TO ARBITRABLE CLAIMS. THE PARTIES FURTHER WAIVE ANY RIGHTS THEY MAY HAVE TO PURSUE OR PARTICIPATE IN A CLASS OR COLLECTIVE ACTION PERTAINING TO ANY CLAIMS BETWEEN YOU AND THE COMPANY.

The arbitration shall be conducted through JAMS before a single neutral arbitrator, in accordance with the JAMS employment arbitration rules then in effect, provided however, that the FAA, including its procedural provisions for compelling arbitration, shall govern and apply to this arbitration provision. The JAMS rules may be found at https://www.jamsadr.com/rulesemployment. If you are unable to access these rules, please let me know and I will provide you with a hardcopy. Unless the parties agree otherwise, the arbitration hearing shall take place in the JAMS office nearest to your current or most recent former place of work. The arbitrator shall issue a written decision that contains the essential findings and conclusions on which the decision is based. This arbitration provision is governed by and will be construed in accordance with the FAA, and it shall only apply to claims that are subject to mandatory binding arbitration under applicable law. If, for any reason, any term of this arbitration provision is held to be invalid or unenforceable, all other valid terms and conditions herein shall be severable in nature and remain fully enforceable.

Notwithstanding anything to the contrary, however, the terms of this “Arbitration and Class and Collective Action Waiver” section shall not apply to any claims or disputes arising under your Employee Inventions and Proprietary Information Agreement with the Company, all of which shall be subject to the applicable dispute resolution, choice of law and choice of forum provisions contained in such Employee Inventions and Proprietary Information Agreement.

(Fanning Decl. ¶ 9, Exh. B § 10.)

Plaintiff does not dispute signing the Offer Letter which includes the arbitration agreement. Thus, a valid written arbitration agreement exists between the parties.

B.
The Arbitration Agreement is subject to the FAA.

The arbitration agreement states, in relevant part: “The arbitration shall be conducted through JAMS before a single neutral arbitrator, in accordance with the JAMS employment arbitration rules then in effect, provided however, that the FAA, including its procedural provisions for compelling arbitration, shall govern and apply to this arbitration provision.” (Fanning Decl. ¶ 9, Exh. B.)

The parties have agreed that the arbitration agreement is governed by the FAA.

C.
Unconscionability

The doctrine of unconscionability refers to¿“an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party.”¿ (Sonic-Calabasas A, Inc. v. Moreno¿(2013) 57 Cal.4th 1109, 1133.) It consists of both procedural and substantive components - "the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results."¿ (Ibid.)¿¿¿

¿

Both substantive and procedural
unconscionability must be present to invalidate an arbitration agreement; however, they do not need to be present in the same degree. (Armendariz v. Found Health¿Psychcare¿Services, Inc.¿(2000) 24 Cal.4th 83, 114;¿Parada v. Superior Court¿(2009) 176 Cal.App.4th 1554, 1570.)¿¿“Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. In other words, the more substantively unconscionable the contract term, the less evidence of procedural unconscionability is¿required¿to¿come to the conclusion¿that the term is unenforceable, and vice versa.”¿ (Armendariz,¿supra, (2000) 24 Cal.4th 83 at 114.)¿

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"The party resisting
arbitration bears the burden of proving unconscionability."¿ (Pinnacle Museum Tower¿Association. v. Pinnacle Market Development¿(US), LLC¿(2012) 55 Cal.4th 223, 247.)¿¿

1.
Procedural Unconscionability

Regarding Plaintiff’s assertion that
the agreement is unilateral, a contract of adhesion is only sufficient to establish some degree of procedural unconscionability. (See Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 915.) “By itself, an adhesion contract may present a low or modest degree of procedural unconscionability, but that can ‘rise[] to a moderate level’ when the party drafting the agreement fails to provide a copy of the applicable arbitration rules.” (Nelson v. Dual Diagnosis Treatment Center, Inc. (2022) 77 Cal.App.5th 643, 660 [internal citations omitted].)

Plaintiff further argues that a failure
to provide a copy of the arbitration rules supports a finding of procedural unconscionability. However, this occurs only if the unconscionability claim

“depended in some manner on the arbitration rules in question.” (Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1246.) Here, Plaintiff does not challenge any of the rules and does not argue that any of the rules are substantively unconscionable, so the Court finds that the failure to attach those rules does not affect the unconscionability analysis. Further, as in Lane v. Francis Capital Management LLC (2014) 224 Cal. App. 4th 676, the rules are available online, made clear by the arbitration agreement, and Plaintiff, a Clinical Admissions Therapist (see Compl. ¶ 14), does not appear to lack the means or capacity to locate and retrieve a copy of the referenced rules. (See Lane, supra, 224 Cal.App.4th at 691-92.)

Plaintiff’s argument regarding timing is unavailing. While Plaintiff focuses on the time allowed for review, asserting that timing heightened oppression, there is no contention in Plaintiff’s declaration that she was forced to sign the arbitration agreement within 14 hours or even within a certain time period. Further, Plaintiff’s timing argument ultimately turns into one of adhesion. (See Opp. 5:17-22 [“More importantly, additional time would not have created meaning choice. Buhaj Decl., ¶¶ 10, 13. Section 10 was nonnegotiable: Plaintiff could accept it as written or forgo the job. Id. Whether she had 14 hours or 14 days, she had no power to change its terms and no reasonably available alternative.”].)

Finally, Plaintiff argues that the agreed upon terms were hidden in a 27-page onboarding packet, causing surprise. Plaintiff cites to Phan v. Knight Sacramento SU Inc. (2026) 121 Cal. App. 5th 641 (“Phan”). However, Phan’s determinative issue was not surprise. (See Phan, supra, 121 Cal.App.5th at 654 [overbreadth], 655 [lack of justification for overbreadth], and 656 [lack of mutuality].) Plaintiff’s remaining cited cases are Silva and OTO, L.L.C. v. Kho (2019) 8 Cal.5th

111 (“OTO”). As discussed above, Silva’s determinative issue was not surprise. Oto is distinguishable. The OTO Court explicitly found that surprise existed because of prolixity. (8 Cal.5th 111.) Further the wording was found to be opaque and any time Kho spent reviewing the agreement would have reduced his pay. (Id. at 127-128.) Plaintiff does not take issue with how the wording in the arbitration agreement is formatted, only that it was within 27 pages of documents. As Defendants point out, the Offer Letter that contains the Arbitration Agreement has that provision in bolded language as Section 10 of the five-page letter, states, in capital letters: “SUBJECT TO THE ABOVE, THE

PARTIES HEREBY WAIVE ANY RIGHTS THEY MAY HAVE TO TRIAL BY JURY IN REGARD TO ARBITRABLE CLAIMS[,]" and includes a separate reference to the arbitration provision immediately above the Offer Letter's signature block. Thus, Plaintiff's argument does not evidence surprise.

Accordingly, the arbitration agreement evidences low procedural unconscionability.

2.
Substantive Unconscionability

a.
The Employee Inventions and Proprietary Information Agreement ("EIPIA") and lack of mutuality

Plaintiff asserts that the arbitration provisions lack mutuality and are, therefore, substantive unconscionable, because: (1) the Court must read the arbitration agreement in conjunction with the EIPIA, which provides for a different dispute resolution for claims relating to trade secrets and proprietary information of the employer; (2) the EIPIA provides that Defendants may pursue their likely claims of competitive activity, misappropriation of proprietary information, breach of confidentiality, and solicitation of employees in court, and seek injunctive relief there; and (3) the EIPIA also requires Plaintiff to acknowledge that any breach of the EIPIA "will cause irreparable harm," that Defendants are without an adequate remedy at law, and that Defendants "shall be entitled as a matter of right to an injunction," without the need to post a bond..
Plaintiff cites Silva v. Cross Country Healthcare, Inc. (2025) 111 Cal.App.5th 1311 ("Silva"); Alberto v. Cambrian Homecare (2023) 91 Cal.App.5th 482 ("Alberto"); Gurganus v. IGS Solutions LLC (2025) 115 Cal.App.5th 327 ("Gurganus"); and Fuentes v. Empire Nissan, Inc. (2026) 19 Cal.5th 93 ("Fuentes") to support this assertion.

Defendants argue that Silva and Alberto are distinguishable from the facts in this action, because the arbitration agreement here allows both parties to seek relief, there is no one-sided venue selection clause, there is no nonmutual attorneys' fee provision, and the agreement contains a lawful representative action waiver. Defendants further argue that the EIPIA does not unlawfully restrict employee discussions of wages. Defendants emphasize that the two documents are distinct and separate as the EIPIA governs how to treat confidential information, company assets, intellectual property rights, and moral rights while the arbitration agreement covers dispute resolution for claims arising out of or related to Plaintiff's employment with the Company and termination. Defendants contend that only one sentence connects the two agreements: "Notwithstanding anything to the contrary, however, the terms of this "Arbitration and Class and Collective Action Waiver" section shall not apply to any claims or disputes arising under your Employee Inventions and Proprietary Information Agreement with the Company, all of which shall be subject to the applicable dispute resolution, choice of law and choice of forum provisions contained in such Employee Inventions and Proprietary Information Agreement." (Fanning Decl. ¶ 9, Exh. B.)

The EIPIA is a three-page document, which provides, in pertinent part, as follows:

Any dispute in the meaning, effect or validity of this Agreement shall be resolved in accordance with the laws of the State of California (the "Applicable State"), without regard to the conflict of laws provisions thereof. Any legal action or proceeding relating to this Agreement shall be brought exclusively in the state or federal courts located in the Applicable State, and each party consents to the jurisdiction thereof; provided, however, that the Company may seek injunctive relief and specific performance in any court of competent jurisdiction. The failure of either party to enforce its rights under this Agreement at any time for any period shall not be construed as a waiver of such rights. Unless expressly provided otherwise, each right and remedy in this Agreement is in addition to any other right or remedy, at law or in equity, and the exercise of one right or remedy will not be deemed a waiver of any other right or remedy. If one or more provisions of this Agreement is held to be illegal or unenforceable under applicable law, such illegal or unenforceable portion shall be limited or excluded from this Agreement to the minimum extent required so that this Agreement shall otherwise remain in full force and effect and enforceable. I acknowledge and agree that any breach or threatened breach of this Agreement will cause irreparable harm to the Company for which damages would not be an adequate remedy, and, therefore, the Company is entitled to injunctive relief with respect thereto (without the necessity of posting any bond) in addition to any other remedies.

(Id.)

Silva involved two separate agreements between the employer and the employee, just as the Plaintiff and Defendant entered into two agreements here. (See Silva, supra, 111 Cal.App.5th at 1316 [asking "[c]an an employer (as the stronger party) sidestep this precedent by requiring its employees (as the weaker party) to simultaneously execute two contracts. . ."].) The agreements here include a mixture of what is presented in Silva. While there were some ways in which the agreements in Silva and the agreements here differed, those differences do not impair the applicability of the holding in Silva or in Alberto to this case. The Court concludes that, because of the rights accorded to Defendant in the EIPIA, the arbitration agreement lacked mutuality.

As with Silva's employment agreement, the EIPIA provides: (1) the EIPIA is to protect Defendants' interests (see Exh. B § 5), (2) language concerning the limitations as "reasonable and not greater than necessary to protect the goodwill or other business interests of the Company" (see id. at EIPIA No. 3(b)(ii)), (3) an acknowledgement that violations of the EIPIA will cause irreparable harm (see id. at EIPIA No. 3(b)(iii)), (4) the employee agrees that Defendants "shall be entitled as a matter of right to an injunction out of any court of competent jurisdiction, restraining any violation or further violation of such agreements" by the employee or others acting on her behalf (see ibid.), and (5) specifies that disputes related to the EIPIA "shall be brought exclusively in the state or federal courts located in the Applicable State, and each party consents to the jurisdiction thereof; provided, however, that the Company may seek injunctive relief and specific performance in any court of competent jurisdiction" (id. at EIPIA § 8.)

Silva affirms that the contracts, generally, must be read together. (111 Cal.App.5th at 1322 ["Civil Code section 1642 provides that "[s]everal contracts relating to the same matters, between the same parties, and made as parts of substantially one transaction, are to be taken together."].)

The lack of mutuality renders the agreement substantively unconscionable.

b.

Other Aspects of Substantive Unconscionability

Plaintiff argues that the arbitration agreement lacks mutuality, specifically highlighting that Plaintiff must arbitrate while Defendants are allowed to sue in Court.

Plaintiff contends that under Phan and Cook v. University of Southern California (2024) 102 Cal.App.5th 312 ("Cook"), the arbitration agreement at issue is unconscionable due to its duration (i.e., indefinite) and overbroad scope. Regarding duration, the arbitration agreement is silent. However, it is distinguished from Cook, in which the arbitration agreement expressly stated that it " 'shall survive the termination of Employee's employment, and may only be revoked or modified in a written document that expressly refers to the "Agreement to Arbitrate Claims" and is signed by the President of the University.' " (Id. at 325.) Similarly, in Phan, the court highlighted that the agreements Phan signed caused her to be bound indefinitely because the agreements "require[d] her to arbitrate all future claims as well." (Phan, supra, 121 Cal.App.5th at 654.)

No such wording is found in the arbitration agreement at issue, and Plaintiff has not provided any statute or precedent that would allow the Court to read silence as an indefinite duration.

Regarding overbreadth, both Phan and Cook focused on arbitration agreements that would bind an individual indefinitely. That is, the terms in Plaintiff's cited cases forced an individual to arbitrate all future claims against a defendant and its related third parties whether or not they were arising out of employment. (See Phan, supra, 121 Cal.App.5th at 654 ["While the Agreements here do not include this express language, the plain language is so broad that they, like the Cook agreement, also encompass all of Phan's claims against Knight and its related third parties, whether related to her employment or not. And, like the agreement in Cook, Phan is bound by these terms indefinitely as the Agreements require her to arbitrate all future claims as well."]; see Cook, supra, 102 Cal.App.5th at 325-26 and 326 [The agreement requires Cook to arbitrate any and all claims she may have against USC 'or any of its related entities, including but not limited to faculty practice plans, or its or their officers, trustees, administrators, employees or agents, in their capacity as such or otherwise.' However, the agreement does not require USC's 'related entities' to arbitrate their claims against Cook."].) This is not the case with the current arbitration agreement which specifically identifies "the Company and its directors, officers, owners, employees, agents, successors and assigns" and no third-parties. (See Fanning Decl., Exh. B § 10.) As such, Phan and Cook are distinguished.

Regarding overbreadth of the scope of arbitration, Plaintiff correctly states, "At minimum the provision is ambiguous as to whether claims against Plaintiff are limited to employment matters." The agreement here contains some wording (e.g., "employment" in clause (b) regarding what claims Charlie Health can compel to arbitration), but no such wording in clause (a), which concerns Plaintiff's ability to compel arbitration). Plaintiff cites Fuentes, which holds: " '[W]here, as here, the written agreement has been prepared entirely by the employer, it is a 'well established rule of construction' that any ambiguities must be construed against the drafting employer and in favor of the nondrafting employee.' (Sandquist v. Lebo Automotive, Inc. (2016) 1 Cal.5th 233, 248 [205 Cal.Rptr.3d 359, 376 P.3d 506] (Sandquist).)" Thus, the arbitration agreement is found unconscionable as to the scope of arbitration which constitutes an overbreadth.

Regarding the minimum requirements of Armendariz, Plaintiff challenges items as to which the arbitration agreement is silent. (Opp. 13:18-20 [citing Armendariz for adequate discovery, a written award permitting limited judicial review, all types of relief otherwise available in court, and no requirement that the employee bear costs unique to arbitration and stating the arbitration agreement only provides and neutral arbitrator, written decision, and includes JAMS rules].) The Court of Appeal has held, with regard to this issue: "Armendariz held that to the extent that the arbitration agreement was silent on these issues, these requirements must be implied as a matter of law. (Armendariz, supra, 24 Cal.4th at pp. 106, 107, 113[interpreted the agreement to provide for adequate discovery, a written arbitration award, and the employer's payment of arbitration costs].) To the extent that the agreement expressly limited these rights, Armendariz held that the agreement was contrary to public policy and unenforceable. (Id. at p. 104 [stated that a provision limiting damages was unlawful].)" (Sanchez v. Western Pizza Enterprises, Inc. (2009) 172 Cal.App.4th 154, 176.)

As presented, the arbitration

agreement is minimally procedurally unconscionable and substantively unconscionable because of lack of mutuality and overbreadth. The Court cannot sever the overbreadth.

Accordingly, Defendants' Motion to Compel is denied

D.
The Motion to Stay is denied.

As the Court has denied the Motion to Compel, the Motion to Stay is denied.

Conclusion

Defendants Charlie Health, Inc. ("Charlie Health") and CH MH Services (CA), LLC's Motion to Compel Arbitration is denied. Defendants Charlie Health, Inc. and CH MH Services (CA), LLC's Motion for Stay of Proceedings is denied.

Date: 08/05/2026 _______________________________

William
E. Weinberger

Judge,
Los Angeles Superior Court